

PPIT Assignment 2

Business Structure and Financial Analysis

Scenario

You are hired as a junior consultant to help set up a new software company called **TechNova Solutions Ltd.** The company will develop custom software for clients in the education and healthcare sectors. Your task is to help the founders design the organizational structure and prepare basic financial documents for their first year of operation.

Use the provided data below to complete all tasks.

Provided Data

Company Overview

- **Name:** TechNova Solutions Ltd
- **Founded:** January 2025
- **Legal Form:** Private Limited Company
- **Initial Investment:** PKR 5,000,000 (from 2 shareholders)
- **Office Location:** Lahore, Pakistan
- **Employees:** 10 total

Organizational Roles

Role	Count	Reports To
CEO	1	—
CTO	1	CEO
Project Manager	1	CTO
Software Engineers	4	Project Manager
QA Engineer	1	Project Manager
Finance Manager	1	CEO
HR/Admin Officer	1	CEO

Balance Sheet Case Study (as of December 31, 2025)

TechNova Solutions Ltd, a newly established software company, concluded its first financial year with total assets amounting to PKR 4,700,000. These assets are composed of several categories. The company holds PKR 1,200,000 in cash at the bank, which represents its most liquid resource. It also expects PKR 800,000 in accounts receivable from clients for completed projects. The company has invested PKR 1,000,000 in office equipment such as furniture and fixtures, and PKR 1,500,000 in computers and software used for development and operations. Additionally, TechNova has prepaid PKR 200,000 in rent for its office space.

On the liabilities and equity side, TechNova has outstanding accounts payable of PKR 400,000, which includes unpaid bills and vendor obligations. It also has a short-term loan of PKR 300,000 taken to support its initial operations. The remaining value is covered by shareholder equity, which stands at PKR 4,000,000. This equity reflects the founders' initial investment and any retained earnings. The balance sheet is balanced, with total assets equal to total liabilities and equity, both amounting to PKR 4,700,000.

Cash Flow Case Study (January–December 2025)

During its first year of operations, TechNova Solutions Ltd generated total cash inflows of PKR 8,500,000. This includes PKR 3,500,000 received from client payments for software development services, and PKR 5,000,000 invested by shareholders at the beginning of the year.

The company's total cash outflows for the year amounted to PKR 5,500,000. These expenses include PKR 3,000,000 paid in salaries to employees, PKR 600,000 spent on office rent, and PKR 1,000,000 used for purchasing equipment such as computers and furniture. TechNova also paid PKR 500,000 for software licenses required for development work, and PKR 200,000 on marketing and miscellaneous operational costs. Additionally, the company repaid PKR 200,000 of its short-term loan during the year.

After accounting for all inflows and outflows, TechNova ended the year with a net cash position of PKR 3,000,000.

Strategic Goals

- Expand client base to 10 long-term contracts by 2027
- Launch proprietary school management software by 2026

Assignment Tasks and Marks

Task 1: Organizational Structure Design (10 marks) Design a labeled diagram of TechNova's organizational structure using the roles provided. Mention the type of structure and justify its suitability.

Task 2: Legal Entity Justification (5 marks) Explain why a private limited company is appropriate for TechNova. Discuss liability, ownership, and regulatory obligations.

- Task 3: Balance Sheet Preparation (10 marks)** Using the provided data, format a professional balance sheet for TechNova Solutions Ltd as of December 31, 2025. (make 2 sheets, one for assests and one for laibilities) Then answer the following:
- 3a) (6 marks) Present the balance sheet clearly, using proper headings and alignment. You may use a table or vertical format.
 - 3b) (2 marks) Identify which asset is the most liquid and explain why.
 - 3c) (2 marks) Briefly explain the meaning of “Shareholder Equity” in this context.
- Task 4: Cash Flow Statement (10 marks)** Use the provided inflow and outflow data to prepare a formatted cash flow statement. Calculate the net cash position.
- Task 5: Strategic Planning Brief (5 marks)** Write a short paragraph explaining how the organizational structure and financial planning support TechNova’s strategic goals.

Total Marks: 40

Submission Guidelines

Submit your assignment as a PDF document. Use clear formatting and label each section. Diagrams can be hand-drawn and scanned or created digitally.

You all are young adults so if any item is not fully covered yet in class, you should be sensible enough to self study it and prepare solution within the time given.

GOOD LUCK!